البنك المركزي المصري
CENTRAL BANK OF EGYPT



Central Bank of Egypt

Rules for Licensing and Registration of Payment System Operators and Payment Service Providers

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البنك المركزي المصري

CENTRAL BANK OF EGYPT

This document has been prepared in both English and Arabic. In the event of any discrepancy or inconsistency between the two versions, the Arabic version shall prevail and take precedence for all legal purposes. The Arabic version shall be considered the official and binding version.

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Introduction

These rules have been prepared in accordance with the provisions of the Central Bank and Banking Sector Law No. 194 of 2020, to achieve the safety and enhance the efficiency of payment systems and services, incorporating rules for licensing the provision of payment services or the operation of payment systems by banks and other payment institutions, either within the Arab Republic of Egypt or from abroad to its residents.

Abbreviations

CBE	Central Bank of Egypt
PSP	Payment Service Provider
PSO	Payment System Operator
PFMIs	Principles for Financial Market Infrastructures

Definitions

For the purposes of implementing the provisions of these rules, the following terms and phrases shall have the meanings assigned to each of them:

1- Payment Instrument	A means by which the user instructs the payment service provider to execute the payment order.
2- Related Parties	Persons who are in an agreement to acquire or have actual control over a company, natural persons, and their relatives up to the second degree. Related parties further include legal persons under the actual control of the same persons, as well as the total legal persons under the actual control of the same persons who collectively agreed to exercise their rights in the General Assembly or the board of directors of the company, leading to actual control over either of them.
3- Payer	a) A natural or legal person who holds a payment account and initiates, or consents to the initiation of, a payment order from that account. b) A person who issues payment orders without the existence of a payment account.
4- Actual Control	The ability of the person and its related parties to appoint the majority of the members of the company's board of directors or to influence, in any manner, the decisions to be issued by it, or the resolutions issued by the company's General Assembly.
5- Electronic Payment Acceptance	A payment service through which payment transactions are accepted and processed, resulting in the transfer of funds to the payee.

6- Payee	A natural or legal person who is the intended recipient of funds as per a payment transaction.
7- Participant	Any party permitted to pay, receive, clear, or settle funds through the payment system, whether directly or indirectly.
8- Electronic Content	The Informational materials stored digitally and prepared for publication on communications networks, whether in the form of text, audio, or visual content, graphics, or programs.
9- Key Shareholder	The shareholder that holds more than 10% of the issued capital of the payment institution or voting rights, either solely or through its related parties.
10- Key Officials	Payment institutions' Chairmen and members of the boards of directors and executives responsible for the main and supervisory activities, and their responsibilities prescribed by a resolution of the Central Bank of Egypt's Board of Directors.
11- Electronic Money	A monetary value, denominated in Egyptian pounds or one of the currencies, issued by the official monetary authorities, due from the person licensed to issue it, and it is stored electronically and accepted as a payment method.
12- Direct Debit order	A payment order issued to debit the payer's account in favor of the payee, based on the payee's request and in accordance with the instructions specified in the direct debit mandate.
13- Payment Order	Instructions issued by the payer or payee, as per an authorization from the payer, to the PSP to execute the process of depositing, transferring, or withdrawing funds, whether in paper or electronic form.
14- Sensitive Payment Data	Security, personal and financial data of the payment service user which may endanger the security and privacy of the institution and its clients if exploited. It does not include the payment account's owner name and its number for payment initiation services and payment account information services.

15- Direct Debit Mandate	An agreement under which the payer grants the payee the right to issue instructions to the PSP to execute one or more direct debit transactions from the payer's account in favor of the payee, in accordance with the amounts and due dates specified therein.
16- Payment Account	The account that holds the names of the payment service users and is used to execute payment transactions, including the deposit, transfer, or withdrawal of funds.
17- Outsourcing Services	The services that licensed payment institutions assign to a third party to undertake any duties or activities on their behalf.
18- Payment Services	All services related to account information, issuing, sending, receiving, or executing payment orders and transactions, whether in local or foreign currencies. This includes issuing and managing payment instruments and electronic money.
19- Payment Initiation Service	It is the service through which a payment order is initiated based on a request and authorization from the payment service user who holds a payment account with another PSP, in accordance with the authorization issued by the user, without holding the payer's funds at any time.
20- Payment Account Service	The service of maintaining and managing the payment account for the benefit of the payment service user.
21- Payment Account Information Service	The service of providing aggregated information, in its original format or after processing thereof, for one or more payment accounts with one or more payment account service providers. This service enables the payment service user to process and present them in alternative ways, provided that it is to be shared through electronic or other channels with the payment service user or his authorized representative.

22- Fitness and Propriety Criteria	The criteria set by the CBE's Board of Directors for the approval of the appointment of key officials.
23- Principles for Financial Market Infrastructures (PFMIs)	The International Standard Principles for Financial Market Infrastructure issued by the Committee on Payment and Settlement Systems (CPSS) and the International Organization of Securities Commissions (IOSCO) to regulate, develop, monitor, and identify the operations of financial markets to mitigate the risks associated with business and securities activities, in addition to systemic, legal, operational, liquidity and credit risks.
24- Payment Service User	A natural or legal person making use of a payment service in the capacity of payer, payee, or both.
25- Payment System Operator (PSO)	The institution licensed by the CBE' Board of Directors to operate a payment system.
26- Systemically Important Payment System Operator	A payment system operator who has been designated as a systemically important payment system operator as per the resolution of the CBE's Board of Directors, based on the system's purpose, scope of its business, transaction value, number of participants, its impact on the stability of the country's financial system, and its ability to meet the requirements of such classification.
27- Bridge Payment System Operator	A payment system operator established for a temporary period to resolve the situation of a systemically important payment system operator that is subject to resolution.
28- Payment Service Provider (PSP)	The institution licensed to provide one or more payment services.

29- Payment Service Provider - Category (A)	The institution licensed to provide all payment services, with a monthly average value of executed payment transactions exceeding EGP 750 million during the 12-month period preceding the average calculation date.
30- Payment Service Provider - Category (B)	The institution licensed to provide all payment services — except for payment initiation services and payment account information services — with a monthly average value of executed payment transactions amounting to EGP 750 million or less during the 12-month period preceding the average calculation date.
31- Payment Institutions	Companies and entities other than banks which engages in any activity that includes the operation of payment systems or the provision of payment services, whether from within the Arab Republic of Egypt or from abroad to its residents.
32- Payment System	A set of tools and procedures designed for the payment, clearing, or settlement of funds through transferring funds between two or more parties via an electronic system.

Scope of Application

The rules set forth herein shall apply to any natural or legal person who carries out or wishes to be licensed to carry out any activity, that includes the operation of payment systems and/or the provision of one or more payment services, either within the Arab Republic of Egypt or from abroad to its residents, including entities established under special laws.

1- Activities within the Scope of Application

First: Operation of Payment Systems.

Second: Provision of Payment Services, after obtaining a license based on a resolution from the CBE's Board of Directors, including the following:

1-1 Cash depositing and withdrawing from the payment account and its operation, using payment instruments, electronic means, and acceptance channels.

1-2 The execution of payment transactions, including the transfer of funds to the payment account by the user's PSP or by another PSP, including:

1-2-1 Direct debit transactions, including one-time direct debit, direct debit orders, and direct debit mandates;

1-2-2 Payment transactions using all payment instruments, including but not limited to credit cards and digital payment instruments;

1-2-3 Direct credit transactions, including standing payment orders.

1-3 Issuance of payment instruments and electronic payment acceptance channels.

1-4 Electronic payment acceptance, including:

1-4-1 Technical Payment Aggregation Services;

1-4-2 Payment Facilitation Services;

1-4-3 Cash Collection.

1-5 Sending money remittances in Egyptian pounds, and disbursing incoming money remittances in Egyptian pounds regardless of their currency.

1-6 Payment Initiation Services.

1-7 Payment Account Information Services.

1-8 Payment Account Services.

1-9 Issuance of Electronic Money.

2- Activities Outside the Scope of Application

2-1 Payment transactions made exclusively in cash directly from the payer to the payee, without any intermediary intervention.

2-2 Payment transactions for paper-based traveler's cheques or paper-based vouchers.

2-3 Payment transactions resulting from services provided by mobile network operators or services provided by third parties to the subscriber, where such transactions are provided in addition to electronic communication services. The additional services include the following:

2-3-1 Purchase of digital content.

2-3-2 Donation to authorized fundraising institutions.

In the execution of these additional services, the following parameters shall be complied therewith:

a) The value of the transaction shall be charged to the cost of the customer's telephone communication services.

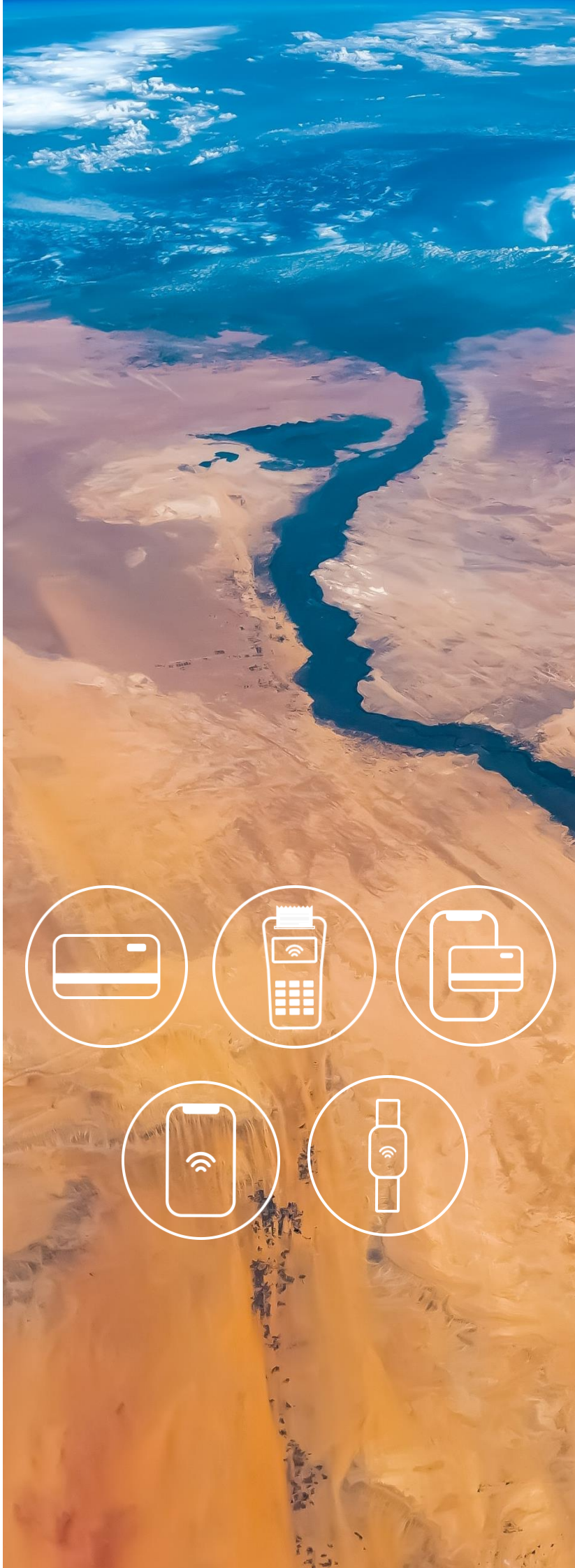
b) The payment transaction shall not involve the use of foreign currencies.

c) The cumulative value of payment transactions for the subscriber during the month shall not exceed three thousand Egyptian pounds.

2-4 The following are not considered payment systems or payment services: stock and financial instrument exchanges, futures exchanges, securities and financial instruments settlement systems, licensed companies authorized to carry out central depository and registry operations for securities and financial instruments, custodians, and internal systems of the Ministry of Finance that do not involve the payment or collection of funds from those dealing therewith, including government employees or other natural or legal persons, in addition to any associated clearing or settlement of funds.

First:

Rules for Licensing Payment Institutions from Within the Arab Republic of Egypt



1- Transitional Provisions

Except for banks, any existing institution, engaged in an activity involving the operation of payment systems or the provision of payment service shall apply for a license within twelve months from the date of issuance of these rules. These institutions shall have the right to continue their activity, based on what the CBE's Board of Directors determines, until a resolution is taken concerning their license application.

2- Licensing Rules

2-1 Operation of Payment Systems or Provision of Payment Services by Banks

2-1-1 Banks may engage in the activity of payment systems operation and/or payment services provision, provided that prior approval is obtained from the CBE before engaging in the activity and without the need to obtain a license.

2-1-2 Approvals previously issued by the CBE before the date of issuance of these rules shall remain valid.

2-1-3 Banks shall comply with the provisions of clauses (2-2-6-1-2-a) and (2-2-6-5-e) of these rules.

2-2 Payment Institutions

2-2-1 Prior Approval on the Establishment of a Payment Institution or Amendment of Activities in the Commercial Register

2-2-1-1 An application shall be submitted to the CBE to obtain prior approval in any of the following cases:

a) Initiating the procedures for establishing a payment institution.

b) Registering or adding an activity for providing payment services or operating payment systems in the commercial register and articles of association for existing institutions.

2-2-1-2 The application shall be submitted to the CBE for taking a decision thereon. The applicant shall be notified of the CBE's decision within a period not exceeding ninety days after the fulfillment of all the required documents. The CBE may extend this period for another similar period.

2-2-1-3 The applicant shall be notified of the approval on their application and this approval shall be valid for six months from the date of its issuance. During this period, an application shall be submitted to obtain the license, otherwise, the approval shall be considered null and void. The applicant may apply for an extension of this period for an additional similar period up to thirty days before the expiry date of the approval.

2-2-1-4 Under such approval, the applicant may not engage in the activity of operating payment systems or providing payment services without completing the remaining licensing procedures. The CBE's Board of Directors shall have the right to reject the license application, even if the prior approval is issued.

2-2-1-5 The application for approval shall include the following:

a) A statement of the proposed/current name of the company in Arabic and foreign languages, attached with a "trade name non-confusion" certificate.

b) Business model.

c) A business plan for no less than three years, including a financial and economic feasibility study.

d) Proof of payment of the application review fee under Clause No. (5-1).

e) All documents and information required by the CBE.

2-2-2 Conditions for Granting a License

The applicant shall fulfill the following conditions for granting the license:

2-2-2-1 The applicant shall have the form of an Egyptian joint stock company, with all its shares being nominal.

2-2-2-2 The sole purpose of the company shall be to engage in the operation of payment systems or the provision of payment services. This does not apply to companies that engage in activities related to technological services, supporting infrastructure, and value-added services alongside payment systems operation or payment service provision, all in accordance with what is determined by the CBE's Board of Directors.

2-2-2-3 The minimum issued and paid-up capital or capital allocated to the activity shall be as follows:

a) **PSP-Category (A):** EGP 30,000,000 (Thirty Million Egyptian pounds).
b) **PSP-Category (B):** EGP 10,000,000 (Ten Million Egyptian Pounds).
c) **Account Information Service Provider and/or Payment Initiation Service Provider:** EGP 20,000,000 (Twenty Million Egyptian Pounds).
d) **Payment Systems Operator:** EGP 500,000,000 (Five Hundred Million Egyptian Pounds).
e) If a PSP of category (A) wishes to provide account information service or payment initiation service in addition to other payment services, the higher requirements for issued and paid-up capital shall be complied with.
f) When combining the provision of payment services and the operation of payment systems, the issued and paid-up capital of each (cumulatively) shall be complied with.

2-2-2-4 Clarifying the role of the bank in the operating model of the Payment Services Provider.

2-2-2-5 Ensuring the financial solvency of the applicant to cover all its obligations related to the operation of payment systems or the provision of the payment services.

2-2-2-6 Clarity of the ownership structure, including related parties - to ensure identification of the ultimate beneficial owners and to verify the legitimacy of the source of funds.

2-2-2-7 The relevant parties (such as: founders, ultimate beneficial owners of legal entities among the founders, board members, and key officials) must possess integrity, good reputation, and financial solvency.

2-2-2-8 Availability of expertise and competencies necessary for the management of the institution, in addition to the required infrastructure, including but not limited to the used technology and cybersecurity.

2-2-2-9 Using electronic systems for all transactions conducted by the payment institution, while adopting the following controls at a minimum:

a) Securing all systems and devices used by the institution, following the necessary controls to ensure data confidentiality, information security, and prevention of unauthorized access to the institution's systems and databases.

b) Ensuring that devices are equipped with the necessary protection programs against viruses, spyware, and malware, with periodic updates conducted for these programs.

2-2-2-10 The license should not conflict with the public economic interest of the Arab Republic of Egypt.

2-2-2-11 There are no factors that may affect the CBE's ability to effectively oversee and conduct field inspections and desk-based monitoring of the applicant.

2-2-2-12 Efficiency of the financial and economic feasibility study.

CBE's Board of Directors has the right to exempt certain institutions from some of the conditions mentioned above, based on the availability of experience, competence and the effectiveness of the business plan and the submitted feasibility study.

2-2-3 Licensing Documents

Institutions applying for a license to operate payment systems or provide payment services shall submit an application to the CBE as per the form prepared for this purpose through the specified channels, attached with the following documents:

2-2-3-1 Operating model, setting out in detail each payment service or payment system.

2-2-3-2 Plans for raising awareness of employees and customers about information security and cybersecurity risks.

2-2-3-3 Customer Complaints Handling Policy.

2-2-3-4 A copy of the terms and conditions agreed upon between the applicant and the payment service users.

2-2-3-5 A copy of the payment system operating rules, including rules related to settlement finality and participation criteria in the payment system.

2-2-3-6 PSPs' policy and arrangements for safeguarding customer funds in cases where such protection is required.

2-2-3-7 Policies for monitoring and following up on operational, security, and cybersecurity incidents, including procedures for detecting and reporting such incidents, together with the rapid response and recovery measures to eliminate the risks resulting therefrom.

2-2-3-8 Policies and controls followed by the applicant in order to safeguard, monitor, and manage login and access to the systems, especially with respect to sensitive payment data.

2-2-3-9 Policies for fraud prevention, anti-money laundering and counter-terrorism financing.

2-2-3-10 Business continuity plans, including procedures for testing and periodically reviewing these plans to ensure their efficiency and effectiveness.

2-2-3-11 Policies and plans for outsourcing, including the following at a minimum:

2-2-3-11-1 A list of outsourcing service providers, including cases of outsourcing to any of the shareholders or related parties.

2-2-3-11-2 Contracts concluded with outsourcing service providers, including the agreed scope of coverage.

2-2-3-11-3 The uses of cloud computing technology that should at least include the following:

a) Type of cloud computing to be used (e.g.: IaaS – PaaS – SaaS).

b) The applications to be hosted on the cloud, the type of associated data, and the locations where they will be stored and processed.

2-2-3-11-4 Governance mechanisms for outsourcing operations, managing and measuring risks, and its control systems.

2-2-3-11-5 The means used to ensure the confidentiality and integrity of data in its various states (i.e., transmission, processing, storage and backup).

2-2-3-11-6 Preventive measures that keep the service provider from violating the terms and obligations for providing uninterrupted service without any blockage or suspension.

2-2-3-12 Proof of payment of application review fees for existing institutions under Clause No. (5-1).

2-2-3-13 The plan for conducting the required tests to detect vulnerabilities and penetrations for all systems and applications.

2-2-3-14 Information Security and Cybersecurity Strategy and Plan, including at a minimum:

a) Information security governance mechanisms and enhancement methods, including policies, procedures, control systems and risk management.

b) The technology and cybersecurity controls necessary for securing the infrastructure, systems, applications, and all information and data in their

various states (i.e., transmission, processing, storage and backup), to ensure the confidentiality, integrity and availability of data and compatibility with the general framework of cybersecurity.

2-2-3-15 Data and Information Flow Map, with a description of the technological and informational infrastructure and their security frameworks.

2-2-3-16 The required letters of guarantee for the institution providing Payment Initiation Services and/or Account Information Services, to be submitted upon license issuance.

2-2-3-17 A recent copy of the commercial register, the articles of association, and a valid tax card.

2-2-3-18 A summary of the applicant's strategy and the added value provided by the institution, along with the business plan, including an estimated budget for at least the next two years, proving and demonstrating the applicant's ability to allocate and utilize resources and implement appropriate procedures to ensure effective operations.

For existing institutions, the submission must also include audited financial statements for the past three years, at most, approved by an external auditor.

2-2-3-19 An explanatory statement for branches and agents, including agency policies that illustrate risk measurement and management mechanisms related to them, contracts signed with agents, and a description of the applicant's participation in any domestic or cross-border payment system.

2-2-3-20 A detailed organizational structure outlining departments or divisions, their duties and responsibilities, including the names of key officials and their assigned duties and responsibilities.

2-2-3-21 A training program plan for all employees to mitigate cybersecurity risks, including training programs for system administrators and cybersecurity officers.

2-2-3-22 Proof that the applicant has fulfilled and met the minimum issued and paid-up capital requirements.

2-2-3-23 Policies and internal control systems, risk management, work systems, and governance.

2-2-3-24 The fitness and propriety forms for key officials, including their résumés.

2-2-3-25 A certificate issued by the Ministry of Justice confirming that no insolvency or bankruptcy, or any crimes affecting honor judgments have been issued against any of the key shareholders, candidates for board membership, or key officials who hold Egyptian nationality.

2-2-3-26 A list of the applicant's external auditors, provided that the auditor is registered with the CBE.

2-2-3-27 The financial guarantee outlined in Clause (4).

2-2-3-28 A statement of ownership structure, detailing the shareholders and their related parties, their respective ownership percentages, and voting rights, ensuring the identification of the ultimate beneficial owner.

2-2-3-29 An undertaking from PSOs to adhere to the Principles for Financial Market Infrastructures (PFMI) issued by the Bank for International Settlements, in accordance with the size and complexity of their operations.

2-2-3-30 Any other documents or data the CBE deems necessary to be submitted.



2-2-4 Licensing Procedures

2-2-4-1 The license application shall be submitted to the CBE's Board of Directors, and a decision shall be made within ninety days from the date on which the application is deemed to have fulfilled the required documents. This period may be extended for another similar period.

2-2-4-2 During any stage of the licensing process, the applicant shall provide the CBE with the additional required information, clarifications, or documents within thirty days from the date of the CBE's request, unless the CBE agrees to grant the applicant a longer period. In case the above requirements are not fulfilled, the CBE's Board of Directors shall have the right to reject the license application.

2-2-4-3 The applicant shall comply with the amendments required by the CBE to the license application, within the period specified thereby. The CBE's Board of Directors shall have the right to reject the license application in case the required amendments are not made.

2-2-4-4 The CBE shall have the right to take any measures it may deem necessary to assess the applicant's ability to meet the conditions and requirements of the license, including, but not limited to, conducting field inspections or personal interviews with key officials or any parties related to the applicant. This is in addition to reviewing all policies, procedures, systems, controls, and records related to the applicant's payment services or payment systems.

2-2-4-5 The licensing decision shall be issued, indicating whether the license is conditional or granted for a fixed term.

2-2-4-6 If a conditional or fixed-term license is granted, the payment institution shall have the right to practice the activities listed in the license application before fulfilling the requirements mentioned in the license, or within the period specified by the CBE's Board of Directors. The license shall remain valid until the occurrence of any of the following:

a) Fulfillment of the required conditions and completion of the licensing procedures.

b) Expiry of the period specified for fulfilling the prescribed conditions.

c) Suspension or revocation of the conditional license.

2-2-4-7 The inspection fee shall be paid immediately upon the issuance of the license decision, under Clause No. (5-2)

2-2-4-8 The mandated letters of guarantee, which shall be provided by the payment institutions, shall be submitted immediately upon the issuance of the licensing decision.

2-2-4-9 The decision issued by the CBE's Board of Directors regarding the acceptance of the license application shall be published on the CBE's website, including the activities and services that may be carried out and whether it is a fixed-term or conditional license, within ten working days from the date of issuance thereof.

2-2-4-10 In case the license application is rejected, cancelled, or the activities related to payment services are restricted or suspended, the applicant shall be notified of the decision within thirty days from the date of its issuance, explaining the obligations for the business wind-down.

2-2-4-11 The applicant has the right to withdraw the license application at any time before the issuance of the license decision.

2-2-4-12 In case of rejection of the application or revocation of the conditional or fixed-term license, the applicant institution shall have the right to submit a new application only if six months have passed from the date of rejection or revocation.

2-2-4-13 The applicant may not retrieve the license application form, supporting documents, or the license application review fees, regardless of the outcome of the license application, whether accepted, rejected, or withdrawn.

2-2-4-14 The applicant shall immediately notify the CBE of the following cases concerning the information, clarifications, or documents submitted with the license application:

a) The occurrence of any actual or potential change.

b) It turns out to be incomplete or contain material errors.

All of the above is without prejudice to the authority of the CBE's Board of Directors to refuse any license applications without providing any reasons.

2-2-5 Amendment of License

2-2-5-1 The licensed institution may apply to amend the license, provided that the amendment application includes the following:

a) The proposed amendment and its reasons.

b) Amendment of the conditions previously set out in the license.

c) Payment services and/or payment systems that shall be added or deleted.

d) Any other data or information that may be requested by the CBE.

2-2-5-2 Upon submitting the license amendment application, the applicant shall follow the licensing procedures outlined in these rules, as appropriate to the amendment request.

2-2-5-3 The amendment application shall be submitted to the CBE's Board of Directors to be decided thereupon, and the applicant shall be notified of the decision within ninety days from the submission of the application, after fulfilling the required documents. The CBE's Board of Directors shall have the right to extend this period for another similar period.

2-2-5-4 The CBE's Board of Directors shall have the right to amend the license to ensure the safety and efficiency of payment systems and services.

2-2-5-5 In the case of a license amendment, the CBE notifies the institution of the required amendment details, explaining the reasons thereof and its effective date. The institution shall implement the amendment on the date and time laid down in the notification.

2-2-5-6 The PSP-Category (B) shall apply to change its categorization to PSP-Category (A) in the following cases:

a) If they wish to provide Payment Initiation Service and/or Account Information Service.

b) If they exceed the parameters set by the CBE for categorization.

2-2-6 Notification or approval of changes to the payment institution

2-2-6-1 The CBE shall be notified of any expected or planned material change that may affect the institution's ability to comply with the conditions stipulated for granting the license on an ongoing basis. The notification shall include the details of such change, the justifications thereof, the date of its occurrence or the expected date of its occurrence, together with the submission of all relevant documents, and directing the institution's employees to conduct personal interviews and cooperate with the CBE where deemed necessary. Such notification shall be made thirty days prior to the activation date of the change, or immediately upon its occurrence in the event of urgent or unexpected changes, including, but not limited to:

2-2-6-1-1 Changes in the registration data of the institution with the CBE.

2-2-6-1-2 Changes in the operation of the institution's business, including:

a) Material changes to contractual obligations, include, but are not limited to: terms and conditions of payment service provision, operating rules of the payment system, technical specifications thereof, outsourcing arrangements and agreements, agents' contracts, as well as any changes to the information submitted to the CBE within the agent registration request.

b) Closing branches (if any).

c) Opening any new branch or subsidiary outside the Arab Republic of Egypt.

d) Changes affecting the suitability of those who have actual control and the fitness and propriety of key officials of payment institutions and PSPs' agents.

e) Changes affecting the financial resources of the payment institution, in particular the ability thereof to fulfil and comply with capital requirements.

f) Listing and registration of the shares of the institution on the stock exchange.

g) Material changes to governance controls, internal control and risk management.

h) Any material changes in the information provided as part of the licensing application.

i) Changing the external auditor, provided that the auditor is registered with the CBE.

2-2-6-2 Prior approval shall be obtained from the CBE before introducing any of the following changes:

a) Change in the policies and procedures for safeguarding customer funds.

b) Appointment of key officials, as well as notifying the CBE in the event of leaving their work or their termination.

c) Business restructuring or scaling.

d) Change in ownership structure, including those who have actual control.

e) Concluding a partnership, outsourcing, or agency contract outside the Arab Republic of Egypt.

f) Adding activities related to technology services and supporting infrastructure.

2-2-6-3 It is not permitted to submit any amendments to the payment institution's General Assembly regarding the Memorandum of Association or the Articles of Association, except after obtaining an initial approval from the CBE. Any amendment shall not take effect except after the approval of the General Assembly and the endorsement thereon by the CBE's Board of Directors.

2-2-6-4 The payment institution shall immediately notify the CBE within a maximum of two working days, as well as providing an action plan later within a specified period, including the corrective measures taken, if the payment institution becomes aware of the occurrence or potential occurrence of any material event, whether inside or outside the Arab Republic of Egypt, especially the following:

a) Any violation of applicable laws, rules and decisions.

b) The initiation of winding-down, bankruptcy, or liquidation proceedings under applicable laws.

c) Any disciplinary action taken or sanctions imposed against the institution.

d) Any changes in the regulatory requirements issued by regulatory authorities to which the institutions are subject other than those prescribed by the CBE.

2-2-6-5 The payment institution shall notify the CBE immediately and within a maximum of six hours, and shall provide the CBE with a detailed report within twenty-four hours in the event of the occurrence or potential occurrence of any of the following:

a) Any incident that may adversely affect the reputation of the institution or the continuation of its business.

b) Any incident that may adversely affect customers or participants.

c) Any fraud incidents.

d) Any cybersecurity-related incident.

e) Any incident that may prevent or restrict access to, or the use of, payment service or payment system, partially or temporarily.

2-2-6-6 In case there are rules or directives specifying a shorter timeframe for reporting incidents similar to those outlined in the previous clauses, the shorter period shall prevail.

2-2-7 Suspension of Activity, Partial or Full Revocation of License, Deregistration

2-2-7-1 Licensed institutions shall not suspend or cease their activities, partially or completely, without obtaining the prior approval of the CBE's Board of Directors through submitting an application that includes a suspension or cessation plan, and its impact on business, customers, counterparties, or creditors. The institution shall provide the CBE with the information, data, or documents it deems necessary to take the appropriate decision. The approval shall be issued in cases of total cessation, after proving that the institution has provided sufficient guarantees or has permanently discharged itself from its legal obligations.

2-2-7-2 The CBE has the right to suspend, restrict activities, or revoke the license, partially or completely, and deregister the institution under a decision by the CBE's Board of Directors in the following cases:

2-2-7-2-1 If a serious or repeated violation of the provisions of the CBE and Banking Sector Law or the decisions and rules issued in implementation thereof is committed, without rectifying the violation within the period and under the conditions specified by the CBE's Board of Directors.

2-2-7-2-2 If the institution has not provided the required cooperation with the inspectors of the CBE.

2-2-7-2-3 If the institution has followed a policy that would harm the general economic interest, monetary policy, the banking system, or the interests of participants or customers.

2-2-7-2-4 If the institution has ceased its activity or submitted a request to cease its activity and liquidate voluntarily.

2-2-7-2-5 If it turns out that the license was granted based on the submission of false data to the CBE.

2-2-7-2-6 In the event of inability to meet any of the conditions for granting the license.

2-2-7-2-7 The occurrence of a material change to the data based on which the license was granted, without notifying the CBE thereof.

2-2-7-3 The institution shall be notified of the justifications for revoking its license, restricting, or suspending its activity to be able to present and submit its defenses in writing within fifteen days from the date of notification, before submitting the case to the CBE's Board of Directors for their decision thereon.

2-2-7-4 The CBE's Board of Directors shall issue a decision regarding the revocation of the license, including the effective date of the decision and whether the revocation is partial or complete. The decision shall also outline the procedures, conditions, and obligations required of the concerned institution. The CBE shall notify the relevant regulatory entities of this decision accordingly.

2-2-7-5 Upon issuance of the license revocation decision, the PSP shall immediately cease its activity, unless otherwise decided. The PSP shall take responsibility for any existing obligations between itself and its agents or payment service users during the period determined by the CBE's Board of Directors. Furthermore, the CBE's Board of Directors has the authority to take any other corrective actions in the event of non-compliance by the PSP therewith.

2-2-7-6 The CBE's Board of Directors shall issue a decision to suspend or cease the activity, including the duration, the effective date, and conditions thereof. The institution shall demonstrate its compliance with the conditions and fulfillment of the procedures laid down by the CBE.

2-2-7-7 The license cessation/revocation decision shall be published in Al-Waqai' Al-Misriyya and on the websites of the CBE and the institution, within ten working days from the date of its issuance.

2-2-7-8 Upon revocation of the license, the CBE's Board of Directors shall have the right to decide to liquidate and/or close the premises of the institution in the Arab Republic of Egypt if it does not engage in any other activity besides payment services or systems.

2-2-7-9 The CBE's Board of Directors may revoke the license of the systemically important payment systems operator, subject to resolution, and deregister it in the following cases:

a) Failure of the payment systems operator to make the required recovery or restructuring.

b) Partial or total transfer of the PSO's assets or liabilities to another operator or a bridge operator.

c) Occurrence of any events of default as per Article (153) of the CBE and Banking Sector Law No. 194 of 2020, where the CBE deems it inappropriate to settle the operator's situation and decides to liquidate it.

3- Registration of Payment Institutions

3-1 Licensed payment institutions shall be registered in a special registry prepared for this purpose at the CBE.

3-2 Registered data includes, but is not limited to, the following:

3-2-1 Registration Number.

3-2-2 Registration Date.

3-2-3 Tax Card Number.

3-2-4 Commercial Register details, including full name and trade name.

3-2-5 Full and abbreviated names in Arabic and foreign languages.

3-2-6 Legal Form.

3-2-7 Date of Establishment.

3-2-8 Activity Commencement Date.

3-2-9 Authorized Services or Systems to be provided or operated.

3-2-10 Address of the headquarters and branches.

3-2-11 Nationality of the institution and its headquarters abroad (if any).

3-2-12 The license decision granted to the payment institution, indicating the license status, i.e., whether it is final, conditional, or of a fixed term.

3-2-13 A statement of the shareholders and their shareholding percentages.

3-2-14 A statement of the names and details of key officials.

3-2-15 The minimum issued and paid-up capital.

3-2-16 Contact details of the Compliance Officer and/or Senior Management Member authorized to liaise with the CBE.

3-2-17 Institution's website.

3-2-18 Fiscal year-end date.

3-2-19 Names of external auditors.

3-2-20 Any amendments to the license that require publication.

3-2-21 Details of any suspension, restriction of activity, or license revocation.

3-3 The registry shall be published, according to the criteria set by the CBE, for public viewing on the official website of the CBE.

4- Financial Guarantee

The institution shall, upon issuance of the license, provide a financial guarantee to ensure the implementation of the license conditions and fulfillment of the obligations stipulated under the Central Bank and Banking Sector Law No. 194 of 2020, as follows:

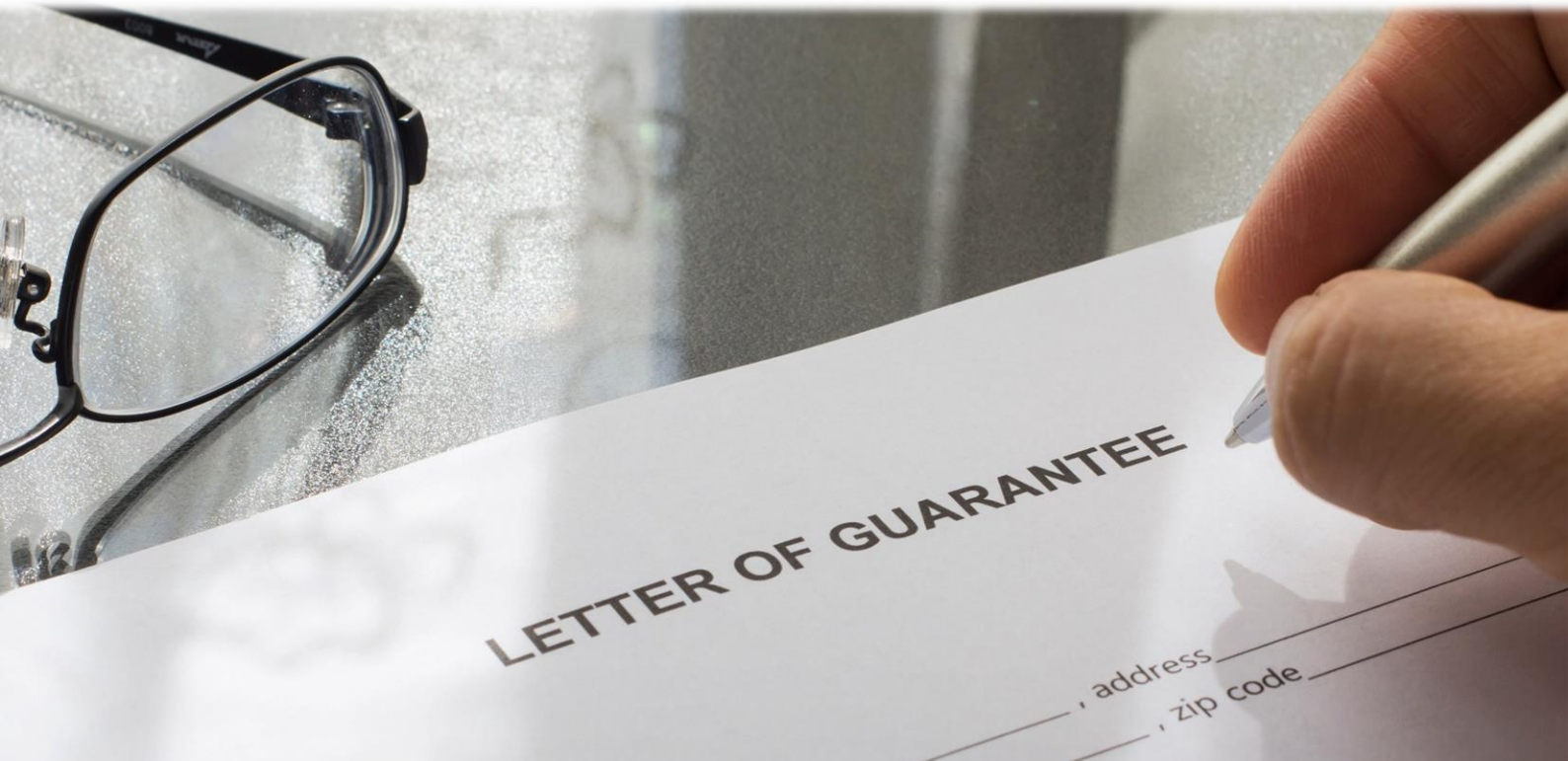
4-1 The financial guarantee must be in the form of an irrevocable, unconditional, and final letter of guarantee in favor of the CBE, issued by a bank registered with the CBE, and renewed automatically.

4-2 The value of the guarantee issued for this purpose shall be equal to 2% of the issued and paid-up capital or the capital allocated to the activity of the payment institution.

4-3 The financial guarantee will be used by the CBE to impose financial penalties on payment institutions, based on its Board of Directors' decision, if any of these institutions or their key officials are found to have violated the provisions of this law, the rules, or decisions issued in implementation thereof.

4-4 The value of the guarantee shall be replenished to the required amount from the institution under Clause 4-2, within (15) working days from the date of partial or total liquidation carried out by the CBE.

4-5 The value of the financial guarantee shall be recalculated annually and/or whenever there is a change in capital requirements.



5- Fees

Payment institutions shall comply with the following:

5-1 Payment of the review fee for the license application or the addition of a service or system, as follows:

5-1-1 Thirty thousand Egyptian pounds for each payment service, up to a maximum of one hundred thousand Egyptian pounds for all services.

5-1-2 One hundred thousand Egyptian pounds for each payment system, up to a maximum of five hundred thousand Egyptian pounds for all systems.

5-2 Payment of the inspection fee upon the issuance of the licensing decision or a decision to add a service or system, as follows:

5-2-1 Thirty thousand Egyptian pounds for each service included in the license, up to a maximum of two hundred thousand Egyptian pounds for all services.

5-2-2 One hundred thousand Egyptian pounds for each payment system up to a maximum of five hundred thousand Egyptian pounds for all systems.

5-3 Payment of annual oversight fee, provided that the fee shall not exceed two pounds for every ten thousand pounds of the average total monthly positions of the institution during the year, and subject to the following maximum limits:

a) One hundred thousand Egyptian pounds for PSP-Category (A).

b) Seventy thousand Egyptian pounds for account information service providers and/or payment initiation service providers.

c) Thirty thousand Egyptian pounds for PSP-Category (B).

d) One hundred thousand Egyptian pounds for the PSO.

5-4 The oversight fee shall be paid during January of each year, commencing after the fifth year from the date of the license issuance. In the first year the fee becomes due, it shall be calculated on a pro-rata basis following the end of the grace period.

5-5 In the case of overdue payment of the oversight fee, an interest shall be charged, according to the key policy rate declared by the CBE.

5-6 Refunds of any collected fees may not be claimed under any circumstances.

5-7 The due fees shall be paid using any of the following payment methods:

5-7-1 Deposit order in the account designated by the CBE for this purpose.

5-7-2 Electronic payment.

5-7-3 Any other method of payment determined by the CBE.

Second:

Rules for Licensing Payment Institutions from Outside the Arab Republic of Egypt to its Residents.



1- All institutions wishing to engage in the operation of payment systems or the provision of payment services from outside Egypt to its residents shall apply for a license from the CBE, provided that such institutions are licensed by the corresponding oversight authority to carry out the same activity, in addition to meeting one of the following requirements:

1-1 The PSO shall be subject to the oversight of a corresponding oversight authority that applies the Principles for Financial Market Infrastructures (PFMIs) issued by the Bank for International Settlements. or

1-2 The institution must have been operating payment systems or providing payment services in one or more countries other than the Arab Republic of Egypt for three consecutive years.

2- Payment institutions shall submit, as a minimum, the following documents:

2-1 The documents outlined in Clauses from 2-2-3-1 to 2-2-3-16 under Clause No. (2-2-3 concerning license documents).

2-2 The financial guarantee, the value of which shall be determined by the CBE's Board of Directors.

3- Such institutions shall be subject to the Clauses of the "Rules for Licensing Payment Institutions from within the Arab Republic of Egypt."

Header No.	Header Title	Applicable Clause
1	Transitional Provisions	
2-2-2	Conditions for Granting License	(2-2-2-4) to (2-2-2-6) and (2-2-2-8) to (2-2-2-11)
2-2-4	Licensing Procedures	All Clauses
2-2-5	Amendment of License	All Clauses
2-2-6	Notification or approval of changes to the payment institution	(2-2-6-1), (2-2-6-2-A), and (2-2-6-4) to (2-2-6-6)
2-2-7	Suspension of Activity, Partial or Full Revocation of License, Deregistration	From (2-2-7-1) to (2-2-7-7)
3	Registration of Payment Institutions	All Clauses
5	Fees	All Clauses

4- Payment institutions shall obtain prior approval from the CBE's Governor before appointing the regional director (or equivalent) responsible for their operations within the Arab Republic of Egypt. They must also notify the CBE when s(he) leaves or terminates their employment.

5- In all cases, the CBE has the right to impose additional licensing requirements based on the size and nature of the payment institution's operations.

6- The obligations set forth in Clauses (2), (3), (4), and (5) of Section (Second) shall be limited to activities related to, or having an impact on, the provision of payment services or the operation of payment systems within the Arab Republic of Egypt.





البنك المركزي المصري
CENTRAL BANK OF EGYPT

Rules for Licensing and Registration of Payment System Operators and Payment Service Providers

JUNE 2025